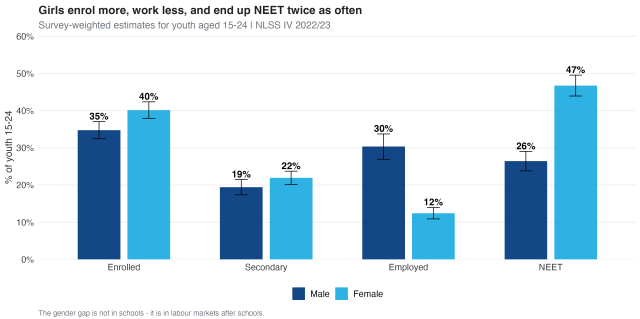
Cost of Inaction Analysis for Adolescent Girls' Education and Human Capital in Nepal

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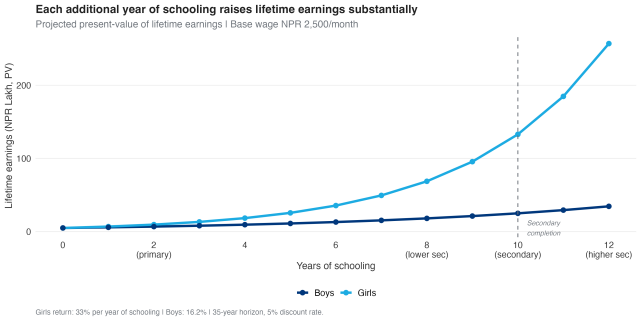
May 2026

The Problem: Girls Enrol, but Don't Find Work



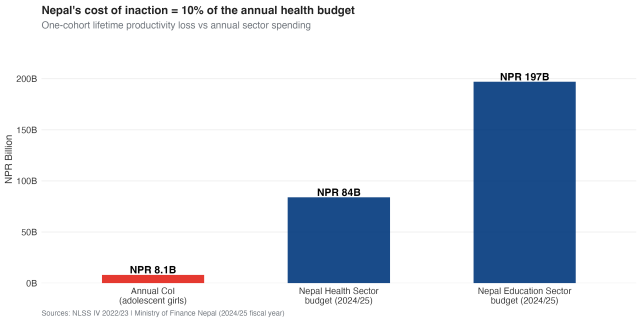
- Girls' enrolment (**40.2%**) exceeds boys' (**34.8%**).
- Yet girls' NEET (**46.8%**) is nearly **double** boys' (26.4%).
- Nepal's gender gap is not a school-access problem — it is a **labour-market** problem.
- Marriage explains more variation in girls' NEET than poverty, caste, and disability *combined*.

The Evidence: Education Reduces Exclusion



- Completing secondary school is associated with a $-$**13.2 pp** reduction in NEET probability (causal forest, $n = 13{,}586$).
- Each year of schooling: **+14.5% earnings for girls** vs $+12.0\%$ for boys.
- **Beyond secondary** the gap widens: $\sim$+15% per year for girls vs $\sim$+10% for boys.
- Effect is stable across all 7 provinces and all caste groups.

The Cost: NPR 8 Billion per Cohort



- **NPR 8 billion (USD 61M)** is the lifetime productivity loss from one cohort of 680,000 adolescent girls not completing secondary education.
- Equivalent to $\sim$**10% of the annual health-sector budget**.
- A *new cohort enters every year* — this is a recurring, not one-off, loss.
- Break-even: any programme costing under **USD 90 per girl** lifetime yields positive ROI.

The Recommendation: Invest at 16–18, Not 19+

1. **End child marriage as an economic priority.** Marriage is associated with −61 pp enrolment and +42 pp NEET — the largest single lever. Enforcement of existing legislation in Madhesh and Lumbini would yield the greatest gain.

2. **Universal secondary completion with year-by-year retention.** 14.5% earnings premium per year of schooling. Reward *every year retained*, not only the completion milestone.

3. **Prevent the post-18 divergence — invest at ages 16–18.** The female NEET gap widens from +9 pp at 15–18 to +24.7 pp at 19–24. Retention support during upper-secondary, paired with skills bridges to the labour market and tertiary, is needed *before* girls exit the system.

4. **Dalit-specific labour-market measures.** Education alone is associated with a 2 pp residual disadvantage. Pair education with apprenticeships and anti-discrimination measures.

Thank you

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